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Balance Sheet as on 31st December, 2017

Liabilities	`	`	Assets	`	`
Loan @12%	5,00,000				
Add: Interest outstanding	15,000	5,15,000			

(ix) Interest on investment

Business entities may have investments in outside securities carrying specified rate of interest. If interest is due but not yet received, adjustment is to be made for the same in the accounting records before preparation of final accounts. Interest receivable on any investments in the form of shares, deposits, etc. made outside the business is called accrued interest. It is an accrued income.

Adjusting entry

Particulars		L.F.	Debit `	Credit `
Accrued interest on investment A/c	Dr.		xxx	
To Interest on investment A/c				xxx
(Interest on investment due adjusted)				

Presentation in final accounts

In Profit and loss A/c	Amount accrued is added to interest on investment on the credit side.
In Balance Sheet	Amount of accrued interest being current asset is shown on the assets side of the balance sheet.

Example

Extracts from the trial balance as on 31st December, 2017 is given below:

Particulars	Debit `	Credit `
Investment @ 12%	1,00,000	
Interest received on investment		9,000

Adjustment: Provide for accrued interest on investment ` 3,000. The adjusting entry is:

Adjusting entry

Date	Particulars		L.F.	Debit `	Credit `
2017	Accrued Interest on investment A/c	Dr.		3,000	
Dec. 31	To Interest on investment A/c				3,000
	(Interest on investments accrued)				